NOTE 13. Income Taxes

Earnings from Continuing Operations before Income Taxes of $1.8 billion, $1.0 billion and $637 million for fiscal years 2006, 2005, and 2004, respectively represent earnings from domestic operations.

The significant components of deferred tax assets and liabilities include:

	December 29, 2006		December 30, 2005	
(Dollars in Millions)	**Assets**	**Liabilities**	Assets	Liabilities
Employee Benefit Plans	**$ 498**	**$ —**	$429	$ —
Accelerated Depreciation	**—**	**6,464**	—	6,324
Other	**580**	**473**	530	493
Total	**$1,078**	**$ 6,937**	$959	$6,817
Net Deferred Tax Liabilities		**$ 5,859**		$5,858

The primary factors in the change in year-end net deferred income tax liability balances include:

- Annual provision for deferred income tax expense;
- Adjustments to Accumulated Other Comprehensive Loss; and
- Deferred income taxes attributable to additional gains recognized on Conrail property received.

Table of Contents

CSX CORPORATION
PART II
Item 8. Financial Statements and Supplementary Data

NOTE 13. Income Taxes, continued

The Company files a consolidated federal income tax return, which includes its principal domestic subsidiaries. Examinations of the federal income tax returns of CSX have been completed through 1998. Federal income tax returns for 1999 through 2005 currently are under examination. Management believes adequate provision has been made for any adjustments that might be assessed.

The breakdown of income tax expense (benefit) between current and deferred is as follows:

	Fiscal Years		
(Dollars in Millions)	**2006**	2005	2004
Current:			
Federal	**$458**	$350	$ 66
State	**31**	12	14
Total Current	**489**	362	80
Deferred:			
Federal	**15**	33	139
State	**27**	(79)	—
Total Deferred	**42**	(46)	139
Total	**$531**	$316	$219

Income tax expense reconciled to the tax computed at statutory rates is as follows:

	Fiscal Years					
(Dollars in Millions)	**2006**		2005		2004	
Tax at Statutory Rates	**$ 644**	**35%**	$362	35%	$223	35%
State Income Taxes	**37**	**2%**	(44)	-4%	9	1%
Equity in Conrail Earnings	**(14)**	**-1%**	(9)	-1%	(16)	-3%
Prior Year Resolutions	**(132)**	**-7%**	(1)	0%	—	0%
Other Items	**(4)**	**0%**	8	0%	3	1%
Income Tax Expense/Rate	**$ 531**	**29%**	$316	30%	$219	34%

The change in the 2006 effective income tax rate compared to the prior year is primarily attributed to the resolution of prior year items including the resolution of federal income tax audits. The net state tax impact of these resolutions of $15 million is included on the state income taxes line above. The 2005 effective rate decreased from 2004 as a result of the Ohio legislative change that gradually eliminates the Ohio corporate franchise tax.